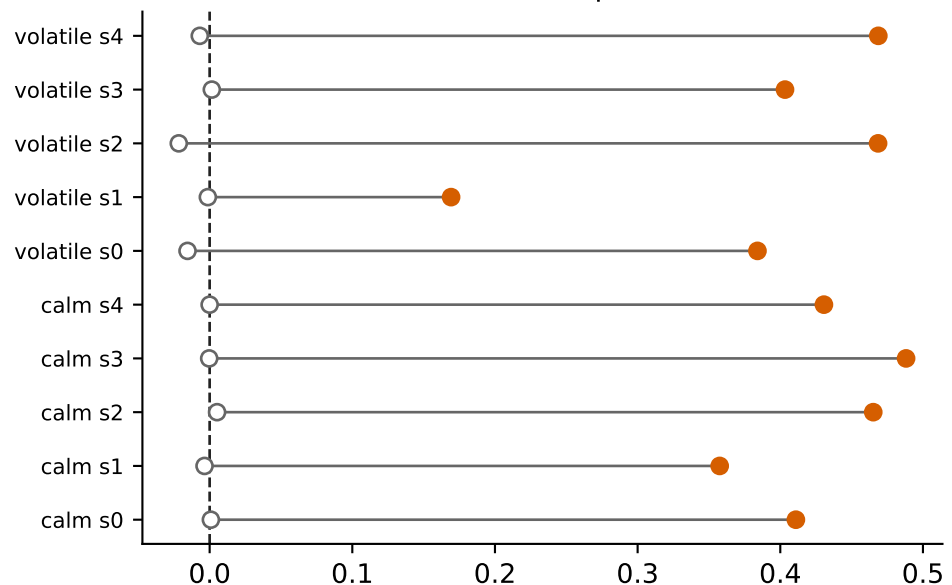


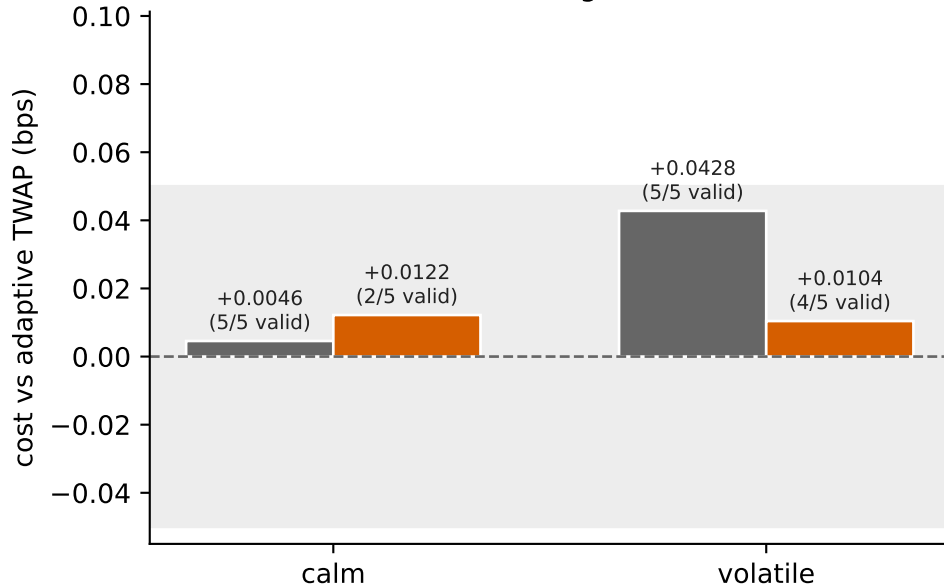
Adding the arrival price to the agent's inputs improves the value function but not execution cost

How well the value function predicts the outcome



explained variance: the share of outcome variation the value function predicts [1 = perfect, 0 = no better than the mean]

Execution cost against TWAP



○ without the arrival price (28 inputs) ● with the arrival price (29 inputs) +/-0.05 bps materiality band